

Exam Guide 1: Political Economy of Export

Thomas Palley Reading: A New Development Paradigm: Domestic Demand-Led Growth

Page 2-3

1. **Export displacement:** Example?
2. **Race to the bottom:** Example?
3. **Declining terms of trade and financial instability?** What does it mean? Example?
4. **Autonomy, dependency and quality of development:** Know the Bangladesh Example

For instance, the risks of export oriented Garments industry

-Examples of imported raw materials/ weak linkages to the rest of the economy

-Race to the bottom

(You don't have to review Robert Blake article for final)

Exam Guide 2:

Africa Cash crop vs food crop debate

Article 1: CASH CROPS VERSUS FOOD CROPS IN AFRICA: A CONFLICT BETWEEN DEPENDENCY AND AUTONOMY: Page 40- 43

Article 2: Why food insecurity persists in sub-Saharan Africa: A review of existing evidence (Impact of increasing export crop page 846-851).

CASH CROPS VERSUS FOOD: Structure of reading:

- Pre-colony Africa (read page 40)
 - Time of Colonization
 - Post-Independence
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1. *Time of colonization*

What is the role of the Colonial State? Page 41

How did it change the agro pattern of Africa?

-Food Production

-Land

-labor

-Infrastructure

-Low cost Extraction-high price selling

What is the impact of export increase in food security in Africa? (Read Article 2: Why food insecurity persists in sub-Saharan Africa: page846-851)

- Reduced food production
- Loss of traditional sources of nutrition-mono cropping
- Inequality within community- role of local elite in diversion of land

2. What happened during the Post independence time? (back to Article 1 again)

Independent states inherited colonial agricultural pattern and continued. **Page 42**

- political change occurred
- economic structures/cash crop economy continued

Know the Post independence Pattern of export crop production (70s /80s) page 42.

- **Senegal:**
- **Ghana:**
- **Kenya:**
- Rwanda, Burundi's and Ethiopia –etc

Know the Impacts of crop pattern change

-Price Decline (why)

-Impact of Price Decline

-foreign exchange loss

-Deterioration of terms of trade

(crop vs technology)

Example: price of Banana/rubber/Tractor

- Price fluctuations:

-How to pay for import and debt?

-Food import dependency? Why?

3. Post independent Food Crop vs Cash Crop policy (page 43)

Know the government policies of the post independent states of Africa (loans/funds/assistance) (mostly 80s)

Examples:

Kenya

Tanzania

Senegal

Exam guide 3: Shrimp in Bangladesh, meat in India

❖ Shrimp industry in Bangladesh

News Article: <https://chinadialogueocean.net/.../20031-how-bangladeshs.../>

Study from Class discussion and from the article.

Try to locate the following from the news report:

Is there incident of forced cultivation? How? To what extent?

Has land pattern changed? How?

Has agricultural pattern changed? How?

Has employment/labor pattern changed? How?

What is the environmental impact?

Is there similarity in these patterns from the colonial agro system in Africa?

❖ Indian Meat Industry Article: *Origins of the Food Crisis in India and Developing Countries*

by Utsa Patnaik

link: <https://monthlyreview.org/.../origins-of-the-food.../...>

1. **Know how and why the Global demand of meat is rising (follow from class lecture)**

-Where? Western demand plus demand of newly industrialized countries

-What is the Impact on developing countries like India and Bangladesh:

(for instance, developing countries are mostly agro based)

2. **What is the problem with Indian meat export?**

Read this section: The Human Food–Animal Feed Competition- Read First 4 paragraphs of the article

For instance:

- Historically the colonies supplied the west with cheap import. This still continues.

- The Grazing land Issue: How the lands of tropical developing countries are increasingly producing animal feed and animal products for the rich segment of the world
- Food vs feed issue: Food grains are converted into feed grains (know feed requirement for 1 KG meat/Poultry)
- How rising meat consumption of urban rich lowers poor people's consumption of food grain

3. *What is the impact in Bangladesh?*

Read Articles on নেপিয়া ঘাস চাষ

নেপিয়া ঘাস চাষ ব্যক্তিগত পর্যায়ে লাভজনক হলেও অতিরিক্ত ঘাসের চাহিদার প্রভাব কী?

Exam Guide 4: History of Free Trade

Book: Kicking Away the Ladder.

Chapter 2: by Ha Joon Chang

Trade Policy/protectionism/infant industry argument / Mercantilism of Britain and America during their earlier time of industrialization.

-For American protectionist policy, go through page 24, 25, 26

-For British protectionist policy and its impact on the initial phase of industrial development, go through page 19, 20, 21

-For Mercantilist policy: go through page 21 (last 2 para) and page 22.

Exam Guide 5

❖ Part 1

Article: A critique of modernization and dependency theories in Africa: Critical assessment

By J. Matunhu

-----Page 65, 66, 67 (yellow marked)

Know Rostows Model and its critique

The relationship between Rostows Model with Modernization Theory

Know all 5 critiques of Modernization theory

(the category needs to be studied based on reading + class discussion.)

----Page 68, 69, 70 (yellow marked)

What is dependency theory? Know all 4 arguments of dependency theory.

(The category needs to be studied based on reading + class discussion.)

❖ Part 2

Washington Consensus and World Bank conditionality (no specific reading material/ based on class discussion).

What are the major conditionality of Washington consensus?

Know how to discuss the three major conditionality of World Bank.

-Fiscal Discipline

-Free Trade

-Privatization.

Know the arguments for such conditionality.

Know the motive behind such conditionality

Know the impact of such conditionality on the population of the third world countries.

Exam Guide 6: Free trade in agriculture and WTO

❖ Article 1: Free Trade in Agriculture: A Bad Idea Whose Time Is Done

by Sophia Murphy

Section: The promise of Free Trade vs the Reality of free trade in Agriculture

Link: <https://monthlyreview.org/.../free-trade-in-agriculture.../>

What are the major 3 elements of agreement on Agriculture?

Know the arguments in favor of Agreement on Agriculture.

Know the impact/implications of this free trade agreement for developing countries (as importers) and developed countries (as importers).

❖ Article 2: Milking the poor: how EU subsidies hurt the dairy producers in Bangladesh (page 4 to 10, 12-14: mainly focus on yellow marked sections)

Know about the European Union subsidies to its agricultural sector.

Know what is **allowed** and what is **not allowed** in this agreement.

Know how the rich countries manipulate the system.

Know the impact of EU subsidies to countries like Bangladesh.

Know about the dairy industry in Bangladesh and its demand to the government.